

Question #1 of 23

Question ID: 1474112

All of the following are components of the Code of Ethics *EXCEPT*:

- A)** demonstrating diligence, independence, and thoroughness when preparing investment reports.
 - B)** using reasonable care and exercising independent professional judgment.
 - C)** striving to maintain and improve their competence and the competence of others in the profession.
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Question #2 of 23

Question ID: 1474116

Michael Malone, CFA, is an investment analyst for a large brokerage firm in New York who covers the airlines industry. After hours in his personal time, Malone maintains an online blog on which he expresses his personal opinions about various investment opportunities, including, but not limited to, the airlines industry. On his blog, he posts a very negative investment opinion about WestAir stock. Malone knows that WestAir's stock will be downgraded to a "sell" by his firm next week. Malone has *most likely* violated:

- A)** violated Standard IV(A) Loyalty.
 - B)** Standard VI(B) Priority of Transactions.
 - C)** violated Standard II(A) Material Nonpublic Information.
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Question #3 of 23

Question ID: 1474117

John Elliot, CFA, says that in issues of ethics he always puts the clients first according to the guidelines in the *Code of Ethics*. In doing so he is:

- A)** not correct, because no such ordering or priority is given in the Code.
 - B)** correct.
 - C)** not correct, because his first duty is to the public.
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Question #4 of 23

Question ID: 1474102

In dealing with the public and others, the CFA Institute Code of Ethics requires that CFA Institute members act with:

- A)** honesty, professionalism, and high ethical standards.
 - B)** integrity, competence, and respect.
 - C)** candor, skill, and honor.
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Question #5 of 23

Question ID: 1474105

In accordance with Standard III (A) Loyalty, Prudence and Care, which of the following statements is *NOT* a required or recommended action?

- A)** Utilize client brokerage to the sole benefit of the client.
 - B)** Submit to clients, at least quarterly, itemized statements detailing all of the period's transactions.
 - C)** Vote all proxies on behalf of clients in a responsible manner.
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Question #6 of 23

Question ID: 1474103

Which of the following is a component of the *Code of Ethics*? CFA Institute members shall:

- A)** make reasonable efforts to detect and prevent violations by those who are under their supervision.
 - B)** disclose to their employer all matters that reasonably could be expected to interfere with their duty to their employer or ability to make unbiased and objective recommendations.
 - C)** strive to maintain and improve their competence and the competence of others in the profession.
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Question #7 of 23

Question ID: 1474109

According to the CFA Institute Code of Ethics, CFA Institute members shall:

- A)** preserve the confidentiality of information communicated by clients, prospects, or employers concerning investment matters.
 - B)** act with integrity, competence, diligence, respect, and in an ethical manner when dealing with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
 - C)** maintain knowledge and comply with all applicable laws, rules and regulations.
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Question #8 of 23

Question ID: 1474115

Which of the following activities would be following a component of the Code of Ethics explicitly?

- A)** Maintaining a list of colleagues who have violated the CFA Institute standards.
 - B)** Consulting with colleagues about opinions you reach in your research.
 - C)** Attending continuing education seminars on investing and inviting colleagues to come along.
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Question #9 of 23

Question ID: 1474119

According to the Standards of Professional Conduct, investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner. This concept is *most* directly addressed in:

- A)** Standard VI, Conflicts of Interest
 - B)** Standard V, Investment Analysis, Recommendations, and Actions
 - C)** Standard I, Professionalism
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Question #10 of 23

Question ID: 1474111

Which of the following is a component of the Code of Ethics?

A) Members shall not knowingly participate or assist in any violation of such laws, rules, or regulations.

Members shall not engage in any professional conduct involving dishonesty, fraud, **B)** deceit, or misrepresentation or commit any act that reflects adversely on their honesty, trustworthiness, or professional competence.

Members shall use reasonable care and exercise independent professional **C)** judgment.

Question #11 of 23

Question ID: 1474118

The Code of Ethics does *NOT* explicitly say that a CFA Institute member shall do which of the following?

- A)** Actively lobby for new laws to protect the public.
 - B)** Exercise independent professional judgment.
 - C)** Act with integrity.
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Question #12 of 23

Question ID: 1474101

Which of the following is *least likely* a component of the Code of Ethics? In dealing with the public, clients, prospects, employers, employees, and fellow members, CFA Institute members shall act with:

- A)** integrity.
 - B)** humility.
 - C)** respect.
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Question #13 of 23

Question ID: 1474110

According to the Code of Ethics, a member reflects credit on the profession when a member:

- A)** consults with other members on a regular basis.

- B) places the clients first.
 - C) practices in a professional and ethical manner.
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Question #14 of 23

Question ID: 1474099

The CFA Institute Code of Ethics *least likely* requires a Member or Candidate to:

- A) Strive to maintain and improve the competence of others in the profession.
 - B) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.
 - C) Understand and comply with all applicable laws, rules, and regulations.
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Question #15 of 23

Question ID: 1474106

According to the Code of Ethics, which of the following statements is *NOT* correct? CFA Institute members are required to:

- A) use reasonable care and exercise independent professional judgment.
 - B) comply with the CFA Institute Global Investment Performance Standards.
 - C) maintain and improve their competence and strive to maintain the competence of others in the profession.
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Question #16 of 23

Question ID: 1474113

Which of the following is *least likely* to be a reason for imposing a suspension on a member or candidate?

- A) Failing to return the annual professional conduct statement.
 - B) Misdemeanor charge for possession of narcotics.
 - C) Discussing a question from the CFA exams on social media.
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Question #17 of 23

Question ID: 1474098

Which of the following is *least likely* part of the CFA Institute Code of Ethics?

- A) Competence.
 - B) Contractual provisions.
 - C) Independent judgment.
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Question #18 of 23

Question ID: 1474108

Which of the following is a component of the Code of Ethics?

- A) Transactions for clients and employers have priority over transactions in which a member or candidate is the beneficial owner.
 - B) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.
 - C) Members and candidates must not engage in conduct that compromises the integrity of the CFA designation or the security of the CFA examinations.
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Question #19 of 23

Question ID: 1474107

According to the Code of Ethics, when practicing in a professional and ethical manner the goal is to:

- A) resolve conflicts between clients and employers.
 - B) reflect credit on members and the profession.
 - C) increase membership in CFA Institute.
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Question #20 of 23

Question ID: 1474104

The CFA Institute Code of Ethics specifies that CFA Institute Members and Candidates must do all of the following *EXCEPT*:

- A) act with integrity, competence, diligence, respect, and in an ethical manner.
 - B) refrain from any conduct that compromises the reputation or integrity of the CFA designation.
 - C) use reasonable care and exercise independent professional judgment when engaging in professional activities.
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Question #21 of 23

Question ID: 1474097

The first component of the Code of Ethics does *NOT* explicitly say that a CFA Institute member will act in a certain manner with respect to which of the following groups?

- A) Prospective clients.
 - B) CFA Institute members and candidates in the CFA Program.
 - C) Colleagues.
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Question #22 of 23

Question ID: 1474100

Which of the following is a component of the *Code of Ethics*? CFA Institute members shall:

- A) not knowingly participate or assist in any violation of laws, rules, or regulations.
 - B) use particular care in determining applicable fiduciary duty.
 - C) use reasonable care and exercise independent professional judgment.
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Question #23 of 23

Question ID: 1474114

Liam McCoy has lunch with a wealthy client whose portfolio he manages. McCoy advises the client to double his current position in the JKM Corporation due to an anticipated increase in sales. In accordance with Standard (V) Investment Analysis, Recommendations and Actions, when McCoy returns to his office he should:

- A) verify the suitability of the investment recommendation before placing the client's order.

- B)** identify other clients for whom JKM may be a suitable investment and notify them immediately of his recommendation.
- C)** document the details of the conversation with the client with regard to his investment recommendation.